

AlphaPaaS FinOps & Cloud Cost Standard

Reference: FIN · Version 1.6 · Effective 1 January 2026

Document owner	AlphaInsure Group FinOps Office
Approved by	AlphaInsure Group CFO Office
Review cycle	Annual
Previous version	1.5 (January 2025)
Classification	Internal
Related standards	ARS, ASC

1. Purpose and scope

This standard defines the financial accountability and cost-control requirements for cloud resources consumed by AlphaInsure applications. It covers resource tagging, sizing, non-production environments, reserved capacity, storage lifecycle, and decommissioning.

The standard applies to all cloud resources provisioned in support of an application, regardless of whether the provisioning is performed by the Cloud Broker, the application team, or a third party.

2. Resource tagging

Tags (AWS) and resource tags (Azure) are the foundation of cost attribution. The following tags are mandatory on every resource:

Tag key	Value source	Purpose
app-id	Intake form	Primary cost attribution key
application	Intake form	Human-readable application name
environment	prod / preprod / dev / sandbox	Environment segregation
owner	Intake form (business owner email)	Escalation and ownership
cost-center	Intake form	Financial charge-back
tier	bronze / silver / gold	Criticality-based cost expectations
data-class	public / internal / confidential / restricted	Governance and encryption controls

FIN-01 Every cloud resource **MUST** carry the seven mandatory tags. Resources lacking any mandatory tag will be flagged by the FinOps tooling within 24 hours of creation and will be ineligible for budget approval in the next cycle.

FIN-02 Tag values **MUST** match the values in the application intake form. Automated reconciliation runs nightly; mismatches are reported to the application owner.

FIN-03 Tags **MUST** be applied at resource creation, not retrofitted. For Terraform-managed resources, tagging **MUST** be enforced via a module default-tags configuration, not per-resource.

3. Right-sizing and utilisation

- FIN-04** Compute and database resources **MUST** be sized based on observed utilisation. Resources operating below 30% average CPU utilisation over a 30-day period **MUST** be downsized at the next maintenance window, unless the oversizing is documented and justified (e.g. burst capacity for quarter-end).
- FIN-05** Horizontal scaling is preferred over vertical scaling. Where a workload supports horizontal scaling, increasing instance size beyond what is required for a single replica **MUST** be justified in the architecture review.
- FIN-06** Provisioned-throughput storage (EFS Provisioned Throughput, Azure Files Premium with provisioned IOPS) **MUST** be used only when a documented IOPS requirement exceeds the burst capacity of the standard tier. Default use of provisioned throughput is a breach of this clause.

4. Non-production environments

Non-production environments (development, integration, pre-production) exist to support the production lifecycle. They are not entitled to production-grade resource budgets.

- FIN-07** Monthly spend on all non-production environments for a given application combined **MUST NOT** exceed 20% of that application's production monthly spend. Exceeding this threshold triggers a FinOps review.
- FIN-08** Non-production compute **MUST** be scheduled off outside business hours (default schedule: 19:00 to 07:00 local, and weekends). Workloads that require continuous availability in non-production **MUST** document the reason.
- FIN-09** Non-production databases **MUST** be sized at no more than 50% of the production instance size. Non-production databases **MUST** be paused or stopped on weekends where the service supports it.
- FIN-10** Non-production environments **MUST NOT** replicate full production data volumes. Synthetic or subsetted data is required; see the Data Classification & Handling Standard (DCH-11) for the data handling requirements.

INFO — A useful rule of thumb

If a non-production environment is costing more than one fifth of its production counterpart, either the non-production is too generous, the production is under-sized, or the environments are not equivalent in scope. All three merit investigation.

5. Reserved capacity and commitments

- FIN-11** Workloads with predictable usage patterns (baseline load forecast stable over at least six months) **MUST** be covered by Reserved Instances, Savings Plans, or Azure Reservations. The coverage target is 70% of baseline compute consumption.
- FIN-12** Reservation decisions are centralised. Application teams **MUST NOT** purchase reservations directly; the FinOps office manages reservation pools across the estate and attributes savings to consumers.

6. Storage lifecycle

FIN-13 Object stores (S3, Azure Blob) MUST have lifecycle policies configured to transition infrequently-accessed data to colder storage classes and delete expired data. Buckets without lifecycle policies will be flagged by FinOps.

FIN-14 Snapshots and backups MUST respect retention policies defined in ARS-15. Snapshots older than the retention window MUST be deleted automatically. Manual snapshots MUST be tagged with an expiry date.

FIN-15 Unattached block storage volumes (EBS, Azure managed disks) MUST be deleted within 30 days of detachment. The platform runs a weekly sweep; volumes not justified by the owner will be deleted.

7. Logs and telemetry retention

Log type	Bronze	Silver	Gold
Application logs	30 days	90 days	365 days
Audit logs	365 days	365 days	2 years
Metrics (high resolution)	14 days	30 days	60 days
Metrics (aggregated)	90 days	180 days	365 days
Traces	7 days	14 days	30 days

FIN-16 Log and telemetry retention MUST match the application's tier. Longer retention requires a documented regulatory or business justification.

FIN-17 Audit log retention is governed by regulatory obligation and cannot be shortened to reduce cost. Teams seeking to reduce audit log retention MUST consult the Data Protection Officer.

8. Budgets and alerting

FIN-18 Every application MUST have a declared annual cloud budget recorded in the intake form. The budget MUST be broken down by environment (prod, preprod, dev).

FIN-19 Cost alerting MUST be configured at 50%, 80%, and 100% of monthly budget, with notifications routed to the application owner and the FinOps office.

FIN-20 Cost anomaly detection MUST be enabled for production accounts. Detected anomalies MUST be triaged within two business days.

9. Decommissioning

FIN-21 Applications retired from production MUST have all associated cloud resources decommissioned within 90 days. Resources retained beyond 90 days (for regulatory evidence, extended support, etc.) MUST be explicitly flagged in the retirement record.

FIN-22 Retired application data that must be retained (e.g. for regulatory reasons) MUST be transitioned to long-term archival storage. Keeping data on active-tier storage purely for retention is a breach of this clause.

10. Related standards

- **ARS** — AlphaPaaS Availability & Resilience Standard
- **ASC** — AlphaPaaS Approved Services Catalog